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Research briefing | UK

Why is services inflation sticky despite slowing pay growth?

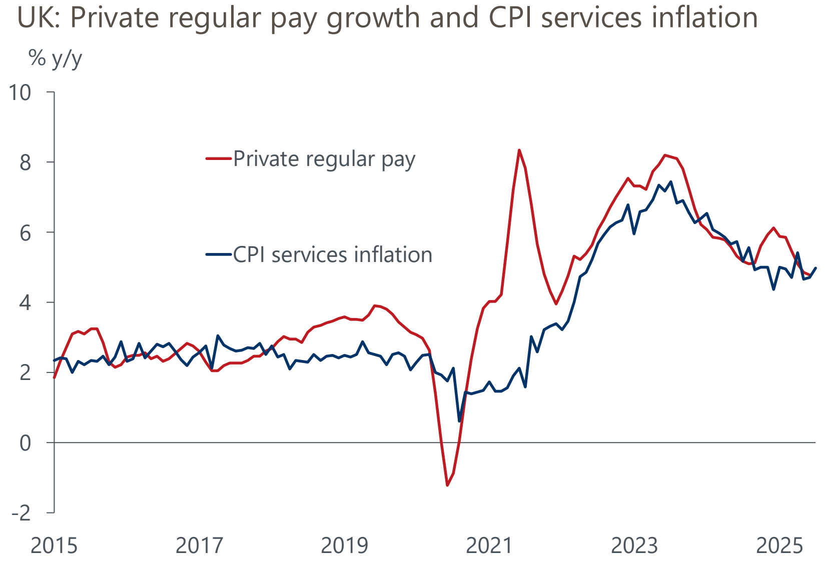
- **The disparity between average weekly earnings growth, which is slowing, and the stickiness of services inflation mainly reflects temporary factors, but some of these may not fade quickly.**
- **The slowdown in private regular pay in the average weekly earnings data partly reflects the unwinding of the previous erratic strength and exaggerates the underlying slowdown. At the same time, the resilience of CPI services inflation can be partly attributed to strength in regulated and indexed prices, and volatile items, which are unlikely to rise as quickly next year.**
- **The passthrough of cost pressures from the hikes to National Insurance Contributions (NICs) and the National Living Wage (NLW) is also lifting services inflation. These measures have had a large effect on costs in consumer services, and their impact on services inflation may have been greater than the Bank of England's Monetary Policy Committee (MPC) expected early this year.**
- **There's no sign that the underlying relationship between pay growth and services inflation has changed, or that sticky inflation reflects higher margins. The various erratic factors are likely to fade in the next few quarters, and the inflationary impact of the NICs hike should also diminish over the next year. However, some cost pressures from the rising NLW will probably continue next year, albeit less powerfully than this year.**

The MPC has highlighted pay growth and services inflation as guides to underlying inflation trends, but they're giving conflicting signals. Pay growth has slowed significantly, from 6.1% y/y in Q4 2024 to 4.5% y/y in June, markedly undershooting the MPC's forecasts. However, CPI services inflation has edged up over that period (4.8% y/y in Q4 2024 to 5.0% y/y in July), slightly overshooting the MPC's forecasts.

We expect services inflation to remain stuck around 5% for the next six months or so, despite a further slowdown in pay growth below 4% over that period. Such a divergence is unusual: the two series generally move together and since 2015, regular pay growth on average has been 0.6ppts higher than services inflation.

Why has this discrepancy occurred? What does it mean for the inflation outlook? And how will the MPC respond?

Chart 1: Pay growth has undershot the MPC's expectations, but services inflation has overshot



Source: Oxford Economics/Haver Analytics

Michael Saunders - Senior Advisor - msaunders@oxfordeconomics.com

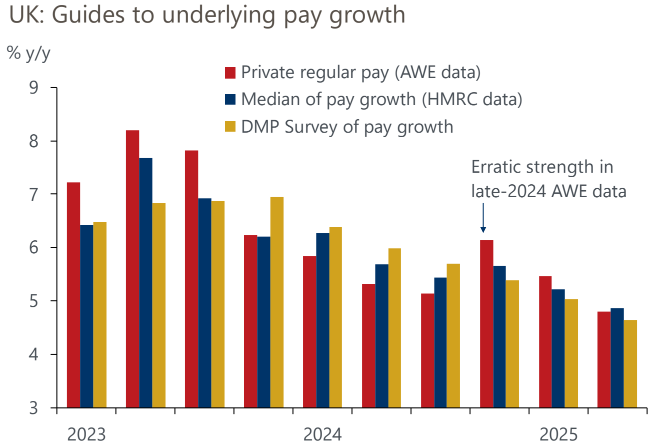
The MPC recently highlighted the divergence between pay and services inflation: "There had generally been some greater signs of disinflationary pressures from the labour market, both in terms of quantities and wages, than from developments in domestic prices". But MPC members appear divided on the implications. Some argue that undershooting pay points to a softer medium-term inflation outlook. Others seem to worry that resilient services inflation may, along with other factors, keep CPI inflation high and put upward pressure on inflation expectations, limiting downward pressure on pay growth.

In our view, this apparent disconnect between pay and prices reflects three factors.

1. Correction of previous erratic strength in average weekly earnings

The average weekly earnings (AWE) data probably overstate the underlying slowdown in pay growth since late 2024, because temporary quirks exaggerated the late-2024 figures, including very rapid pay growth in the miscellaneous "other services" category. Other pay guides, such as the Bank of England Decision Maker Panel (DMP) survey and the Office for National Statistics Real Time Indicators (RTI) figures for the median of pay growth, didn't show the sharp Q4 2024 pickup evident in the AWE data (**Chart 2**).

Chart 2: The AWE data in late 2024 were erratically strong



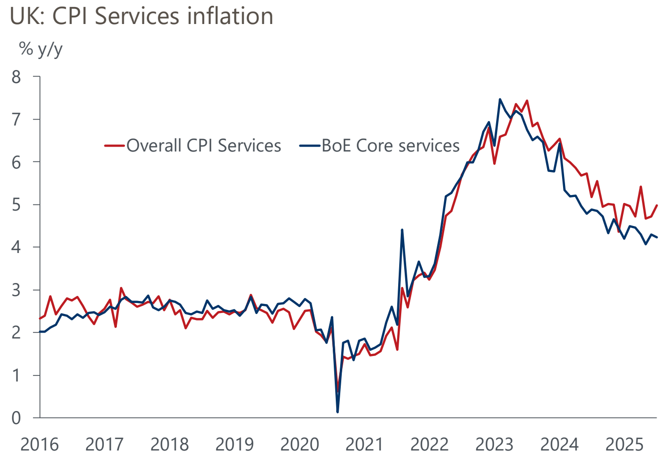
Source: Oxford Economics/Haver Analytics

The MPC noted this discrepancy between pay indicators a few months ago, but it appears to have corrected faster than it assumed. Other pay guides show a more modest slowdown in recent months. For example, whereas private regular pay growth slowed by 1.6ppts between Q4 2024 and June this year (from 6.1% y/y to 4.5% y/y), the DMP and RTI data both suggest pay growth slowed by about 0.8ppts over that period (from about 5.5% y/y in Q4 2024 to about 4.7% y/y in June). The current pace of private regular pay (4.5% y/y in June) is roughly in line with other pay guides.

2. Erratic strength in non-core components of CPI services

At the same time, erratic factors – not linked to pay growth – have recently pushed up CPI services inflation. Regulated and indexed prices within CPI services rose exceptionally sharply this year, reflecting a 26% rise in sewage charges as well as large rises in post charges, car licence fees, and internet charges (many of which are indexed to past inflation). Inflation for services with volatile price swings (for example, air fares, and hotels and restaurants) rose quite sharply in July. The Bank of England's core CPI services measure (which excludes these items) has continued to trend down, slowing from 4.5% y/y in Q4 2024 to 4.2% y/y in Q2 2025 (and a similar pace in July). This measure currently is a more accurate guide to the underlying pace of services inflation (**Chart 3**).

Chart 3: Strength in CPI services inflation partly reflects regulated and volatile prices



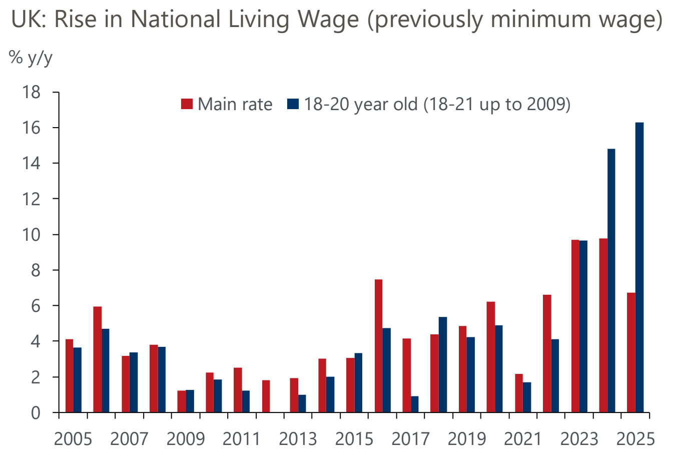
Source: Oxford Economics/Haver Analytics

3. Effects of hikes to National Insurance Contributions and the National Living Wage

Apart from these erratic factors, services inflation has also been lifted by substantial cost pressures from the hikes to employers' National Insurance Contributions (NICs) – a higher rate and lower threshold – and the National Living Wage). The main NLW rate (for people aged over 21years) rose by 6.7% this year, after rising by 9%-10% annually in the prior two years. Combining the NICs and NLW effects, we estimate that the total cost of salary and NICs of employing a full-time worker on the NLW has increased by 34% between 2022 and 2025.

Moreover, there were even larger rises for young workers. The NLW for 18-20-year-olds rose by 16% this year and is 46% up from three years ago. In addition, the government lowered the age threshold for the main NLW rate from 23 years to 21 years in 2024, so that the NLW for workers aged 21-22 years has risen by about 20% over the past two years (**Chart 4**).

Chart 4: National Living Wage has continued to rise rapidly



Source: Oxford Economics/Haver Analytics

In addition, the steady rise in the NLW (previously, the minimum wage) from 44% of median pay in 2001 to about 66% this year has increased its impact on aggregate pay growth, because more jobs are paid at the NLW or only slightly above it (and, hence, affected by pressure to limit wage differentials versus those on the NLW). For example, in 2001, someone working in the services sector earning at the 25th percentile (ie 25% of people in that industry earn less) received 36% more than the NLW: this differential fell to 21% in 2015 and just 13% in 2024 (and it's probably lower this year).

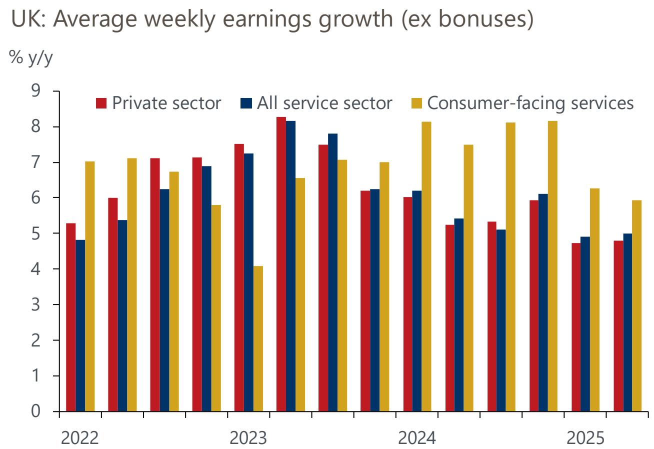
Michael Saunders - msaunders@oxfordeconomics.com

Surveys suggest that lower pay growth and job losses have offset some of these labour cost pressures, but some have been passed on to prices. The MPC estimated that the NICs hike has added about 2% to aggregate labour costs and, early this year, judged it would add about 0.2% to the CPI this year (the Office for Budget Responsibility published similar estimates). The MPC also said early this year that this year's NLW hike added 0.2% to aggregate labour costs. Presumably, the CPI effect of that would be small.

However, the impact is likely to be markedly higher for CPI services inflation. This is partly because labour costs account for a relatively large share of total costs in services, with (unlike goods and food) a lower weight for imports and raw materials (the weight of imports, including indirect use, is about 11% for CPI services, compared with 23% for the overall CPI, and 37%-38% for core goods and food). It's also because these measures have a disproportionate effect on labour costs in consumer services. Pay levels in consumer services are relatively low (22% below average pay for the whole economy) and so are more affected by the NLW and NICs increases. Among employees aged 22-29 years, roughly one-third in consumer services had pay levels at or within 5% of the NLW last year – roughly twice the average share in other sectors. In addition, consumer services employ a relatively large number of young people, for whom the NLW has risen especially sharply. In consumer services, 24% of employees are aged under 25 years, compared with just 8% in the rest of the economy.

Using Office for National Statistics figures on the distribution of pay in individual sectors, we estimate the NICs hike added about 0.5% more to firms' costs in consumer services (i.e. about 2.5%) than in the overall economy (about 2%). Moreover, with the effects of the NLW hikes (and some knock-on effects up the pay scale), average weekly earnings growth (excluding bonuses) in consumer-facing services was up 5.7% y/y in Q2, well ahead of overall private AWE growth of 4.8% y/y, which (using the MPC estimate) includes a 0.2ppts effect from the higher NLW (**Chart 5**). This excess pay growth in consumer services probably all reflects the NLW hike, including knock-on effects on employees above the NLW level. It's unlikely to reflect strong labour demand, given that vacancies and employment in consumer services are relatively weak.

Chart 5: Pay growth is relatively high in consumer-facing services



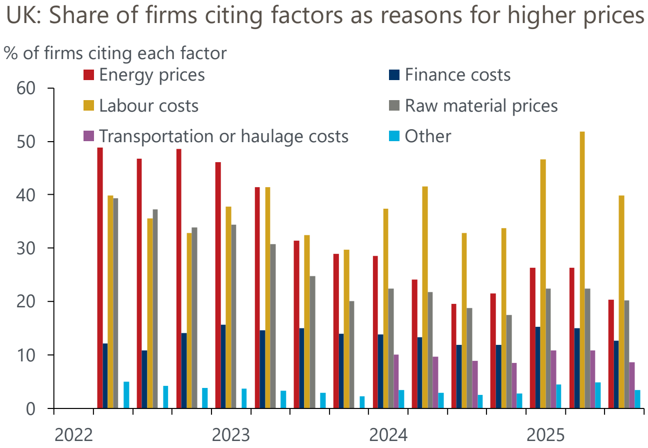
Source: Oxford Economics/Haver Analytics

Combining these, we think the NICs and NLW hikes added about 3.6ppts to labour costs in consumer services (2.5% from NICs and about 1.1% excess pay growth from the NLW), on top of the general trend in pay growth. Labour costs account for 40%-50% of the overall price level for consumer services, a little above the overall CPI. So, if these extra costs are all passed through to prices, it would add 1.4%-1.8% to services prices (i.e. 40%-50% of 3.6ppts). Allowing for some offsetting declines in margins and employment, the boost to services inflation this year has probably been at least 0.5% and perhaps as high as 1%. These are cautious estimates, and assume that, without the NLW hike, pay growth in consumer-facing services would match the ex-NLW average of the overall economy (which we assume to be 0.2ppts below actual AWE growth). Given sluggish consumer services output, if anything, the counterfactual might have been relatively weak pay growth in this sector – which would imply the NLW-related boost to pay in consumer services has been higher.

Given that services account for 50% of the CPI and that the NLW has also lifted pay in other sectors (for example, food processing, for which pay growth is 7.0% y/y), we suspect the overall effect of the NLW rise on CPI inflation (including knock-on effects via wage differentials) has been markedly greater than the MPC expected at the start of the year.

Consistent with this, the ONS Business Insights and Conditions Survey (BICS) shows that, so far this year, the share of firms (excluding those with less than 10 employees) citing rising labour costs as a reason to lift their selling prices has been well above the average levels of 2022-24 (**Chart 6**). The upward pressure on prices from labour costs has been especially strong in accommodation and food services, which is heavily affected by the NICS and NLW hikes. Similarly, the CBI survey shows that the net balance of consumer service firms reporting higher costs per employee in Q2 was the sixth-highest quarter since the survey began in 1998. And all this occurred despite slowing pay growth on various measures.

Chart 6: A high share of firms have reported that rising labour costs are pushing up prices



Source: Oxford Economics/Haver Analytics

Conversely, the hikes in NICS and the NLW have had relatively little effect on labour costs in business and professional services, but the direct weight of these sectors in the CPI is well below their weight in the overall economy.

No sign of margin expansion or little sign of greater underlying inflation persistence

The greater relevance of the NLW, as more people are at or close to it, is increasingly affecting wage-setting. It means that the extent and speed with which rising unemployment pushes down on pay growth at the low end is likely to be less than previously. Moreover, the government's aim of keeping the NLW at 66% of median pay means that the annual NLW rise effectively includes a catchup for any upside (or downside) surprise in pay growth in the prior year, which may increase persistence in wage trends.

But, other than that, the recent resilience of services inflation doesn't, in our view, really reflect greater underlying inflation persistence for a given path of pay growth. Rather, it mainly reflects the extraordinarily large effect of the hikes in NICs and the NLW. Nor is there evidence that resilient services inflation reflects higher margins. For example, the CBI services survey shows a further sharp drop in profit margins in consumer services in recent quarters.

Key point – services inflation's resilience is largely transitory, but may not fade quickly

Looking ahead, private regular pay is likely to slow further in the next few quarters, falling below 4% y/y in Q4 2025 and Q1 2026, reflecting base effects from past strong pay growth and lower pay deals. Even as base effects fade, pay growth is likely to remain subdued (3-3.5%) during the rest of 2026.

Eventually, lower pay growth is likely to be reflected in lower services inflation. However, services inflation is likely to remain stuck around 5% y/y over the next couple of quarters and may continue to be a bit sticky in the rest of 2026. Many indexed prices only change once per year, in January-April, and will still respond to this year's relatively high inflation rates next year. And there may still be some delayed passthrough to prices next year from this year's NICs hike. Moreover, the Low Pay Commission's indicative estimate is that the NLW will rise by 4.1% in 2026 to keep it in line with the government's target of 66% of median earnings. That's lower than this year's rise, but still likely to be a bit above the trend in pay deals (which the Bank of England Agents expect to average 3.0%-3.5%). In addition, the main NLW rate will, over time, be extended to 18-20 year olds, so that pay growth for that age group will remain relatively high; last year, roughly 30% of employees aged 18-20 earned less than the main (21+ years) NLW rate.

Given the MPC's concerns about the risks of inflation persistence, either pay growth or (more likely) services inflation may continue to give cause for concern throughout the next year. At present, monetary policy is still somewhat tight, with Bank Rate a bit above most estimates of neutral. Unless the economic outlook weakens abruptly, the MPC will probably want to keep Bank Rate above neutral unless it's clear that both pay growth and core services inflation are heading back to a target-consistent pace next year. That may not prevent some further loosening, but it is likely to constrain how far and how fast the MPC will go. Indeed, following the hawkish shift at the August meeting, the probability has increased that the MPC will skip a cut in Q4 this year.